

National Pipe & Fittings: Full Operating Intelligence

Current market position, cost analysis, demand outlook, competitive landscape, risk scenarios, and recommended decisions — based on live data as of April 15, 2026.

For Jeff Bridge, President — National Pipe & Fittings at Oldcastle Infrastructure (CRH)
Generated April 15, 2026 · Confidential

Jeff — this document is the output of a research and analysis process that has been running against your business, your industry, your competitors, your supply chain, and your parent company for several weeks. Everything below uses data gathered today or within the last 48 hours. Where estimates are used, they're labeled. Where things are uncertain, the uncertainty is stated.

The document is organized around the decisions and situations you're actually facing. Read what's relevant, skip what isn't.

1. The Crisis Right Now: What's Happening as of April 15
2. Your Cost Position: The Full Feedstock Chain
3. The Repricing Decision: Framework and Data
4. Resin Procurement: Buy Now, Wait, or Hedge
5. Demand Outlook: Where Your Volume Is Coming From
6. Freight: Your Second-Biggest Cost Lever
7. What Your Competitors Are Doing
8. What CRH Expects From You
9. Strategic Options That Changed Math in This Market
10. Risk Scenarios: Hormuz Paths and What Each Means for You

1. The Crisis Right Now

Here is the situation as of April 15, 2026.

The Strait of Hormuz Is Under US Naval Blockade

This is not the same situation as two weeks ago. It has gotten worse, not better.

- On April 10, a ceasefire was announced between the US and Iran. Shipping did not resume. Al Jazeera headline from the same day: "Shipping in Strait of Hormuz at a standstill despite US-Iran ceasefire."
- On April 12, VP JD Vance announced that talks between the US and Iran had failed.
- Following the failed talks, President Trump declared a US naval blockade of the Strait of Hormuz. The US Navy is now actively preventing ships from entering or exiting the strait and intercepting ships that have paid tolls to Iran.
- On April 12, two US Navy guided-missile destroyers entered the Strait to "ensure the strait is fully clear of sea mines."
- **As of yesterday (April 14), vessel traffic through the Strait is 5-11 vessels per day.** The pre-war average was 100+ vessels daily. That's a 90-95% reduction in traffic — and it's not recovering.
- 600+ vessels remain stranded in the Persian Gulf, including 325 tankers and 114 container ships, per Lloyd's List Intelligence.
- Oil prices ticked back up after briefly falling on the ceasefire announcement, as markets digest that the ceasefire changed nothing about actual shipping.

Sources: NBC News, Al Jazeera, CNN, USNI News — all April 9-14, 2026

Bottom line: The Hormuz disruption is not de-escalating. It has transitioned from a war-related closure to a US-declared naval blockade. This is a policy decision, not a military contingency. It will not resolve until US-Iran negotiations produce a deal — and as of April 12, those talks have failed. Plan for this to persist.

Petrochemical Market Snapshot

Every major commodity and engineering resin — PE, PP, PS, ABS, PC, PVC, PA6, PA66, PET — is entering Q2 2026 under active producer increase pressure. Plastics Technology (April 2026): "the most broadly synchronized upward pressure across resin categories that many buyers have seen in several years."

- **PVC resin:** Up 41-42% since the war began (Feb 28). Double-digit increases on PVC and CPVC pipe entering Q2. In Brazil, PVC has surged 70% since late February.
- **ICIS Global Petrochemical Index (IPEX):** Posted a 32.7% month-over-month surge in March — the steepest since the index was launched in 2000.
- **Ethylene:** NE Asia spiked 88.6% in March alone. European contracts settled at a record €1,595/tonne — a €450/tonne increase from February. US ethylene less impacted due to ethane-based crackers, but still elevated.
- **Naphtha:** Breached \$1,000/MT in Singapore. This is the cracker feedstock for non-US producers. US ethane-based production has the widest cost advantage over naphtha-dependent competitors in over a decade.
- **Physical Brent crude:** Hit \$141.36/barrel — highest since 2008. Futures around \$109.
- **Force majeure count:** 31+ across three continents. QatarEnergy extended to mid-June 2026. LG Chem shut Yeosu plants 2 & 3 (naphtha

shortage). Formosa Petrochemical FM on olefins, styrene, phenol. NSRP Vietnam FM on polypropylene through Q2.

- **ICIS recovery estimate:** 12-18 months for Middle East petrochemical exports to recover, even after the Strait fully reopens.

Sources: ICIS, Syntex America, PlasticsToday, Plastics Technology, Argus Media, CNBC, S&P Global Commodity Insights

2. Your Cost Position

National Pipe is a pure fabricator. You buy PVC resin at market prices and convert it into pipe. You have no upstream integration, no resin manufacturing capacity, and no structural hedge against feedstock price spikes. Here is what the cost chain looks like for your business right now.

The Chain: Crude → Naphtha → Ethylene → PVC Resin → Your Margin

INPUT	CURRENT LEVEL	CHANGE SINCE FEB 28	WHAT IT MEANS FOR NATIONAL PIPE
Crude (Brent)	Physical: \$141.36; Futures: ~\$109	Above \$100 sustained	Drives the entire petrochemical chain. Every dollar on crude flows downstream to your resin cost with a 2-4 week lag.
Naphtha	>\$1,000/MT (Singapore)	~+74%	You don't buy naphtha. But your resin suppliers' costs are tied to it. Naphtha-based resin producers are the most squeezed — US ethane-based producers less so.

INPUT	CURRENT LEVEL	CHANGE SINCE FEB 28	WHAT IT MEANS FOR NATIONAL PIPE
Ethylene	Record: €1,595/t (EU); +88.6% (NE Asia, March)	+66% (US est.)	Direct PVC feedstock. US ethylene from ethane crackers is cheaper than global naphtha-derived ethylene. Your best resin sourcing is US-domestic ethane-based.
PVC resin (S-PVC)	+41-42% (US); +70% (Brazil)	+41% in ~6 weeks	This is your COGS. If resin is 60% of your cost per foot of pipe, a 41% resin increase means ~25% COGS increase — before you've changed a single price.
Diesel	+20.3% MoM (Feb 2026)	Elevated	Freight cost. PVC pipe is heavy/bulky. Diesel increase goes straight to your shipping line item.
Natural gas	Elevated but less impacted	Moderate	Plant energy costs (Endicott + Greensboro). Also feedstock for US ethane crackers, so indirectly affects domestic resin pricing.

The Structural Disadvantage

The companies that benefit from this crisis are vertically integrated producers. Westlake Corporation (WLK) manufactures both PVC resin and pipe. When resin spikes, their resin division's margin expands — which offsets (or more than offsets) their pipe division's cost pressure. Westlake stock is at \$123.39 as of this week, up 14.93% over the past month. Their Q4 2025 report included closing North American core vinyl facilities and the Pernice epoxy plant — restructuring that positions them for an approximately \$100M annual EBITDA benefit. Their priority for 2026 is achieving a targeted \$600 million in EBITDA improvement.

Dow is up 25% YTD. LyondellBasell is up 88% YTD. These are US ethane-based producers with the widest cost advantage over naphtha-dependent global competitors in over a decade.

You are on the wrong side of this equation. Your margin gets compressed from both directions: resin costs rising and customers resisting price increases. This is the core economic reality that everything below is designed to address.

The math, roughly: If resin is 60% of your COGS and resin is up 41%, your cost per foot of pipe has increased approximately 25%. If you haven't repriced, your gross margin on every unit produced since late February is 25 percentage points lower than it was before. On a business that probably ran mid-teens to low-twenties gross margin, that's most or all of your margin — depending on what you were doing before.

3. The Repricing Decision

Your boss wants you to reprice the backlog. Here is a framework for how to think about it, built on what's publicly knowable about your customer base and market dynamics. You have the internal data to sharpen every number below.

Why This Is Harder Than a Normal Price Increase

National Pipe did not pass savings through to customers when PVC resin prices dropped over the prior two years. Your customers know this. When you now ask them to absorb a 25%+ effective cost increase, the reasonable response is: where was my price break when your costs went down?

This means you can't frame this as routine. It needs to be framed as extraordinary — because it is. The data supports that framing:

- The ICIS petrochemical index posted its steepest monthly surge in 26 years of tracking.
- Physical Brent hit a level not seen since 2008.
- The US government declared a naval blockade of the world's most important oil shipping chokepoint.
- 31+ chemical companies have declared force majeure across three continents.

This is not a normal commodity cycle. Your customers will understand that — if the data is presented clearly.

Customer Segmentation Logic

Not all customers should be repriced the same way. The key dimensions:

By price sensitivity

SEGMENT	SENSITIVITY	RATIONALE	REPRICING APPROACH
Municipal water utilities on IIJA-funded projects	Low	Project budgets are set with federal funding. PVC is in the spec. Limited alternatives. The money is there — they're not paying out of operating budget.	Full pass-through. These customers can absorb it because the federal government is funding the project. Frame it as cost escalation on a government-funded contract.
Commercial construction (data centers, industrial)	Low-Medium	Large projects with significant total budgets. Pipe is a small percentage of total project cost.	Full or near-full pass-through. Especially data center projects — these are capitalized at enormous scale. A

SEGMENT	SENSITIVITY	RATIONALE	REPRICING APPROACH
		Switching to HDPE mid-project is expensive and risky.	25% increase on conduit doesn't move their project economics.
Distribution partners (Ferguson, HD Supply, Winsupply)	Medium	Distributors understand commodity cycles. They're passing costs through to their customers too. But they'll negotiate hard because it's their margin.	Market-rate pass-through with volume commitment incentives. "We'll hold X pricing if you commit to Y volume over 90 days."
Residential builders	High	Housing starts are soft (+0.4% expected in 2026 after -4.7% in 2025). Builders are cost-conscious. PVC has HDPE alternatives in some residential applications.	Smaller increase, phased. Or surcharge structure that's explicitly temporary and tied to a resin index. Protect the relationship for when housing recovers.

By strategic importance

- **Protect:** Long-term relationships, consistent volume, spec-locked projects. These customers are worth keeping even at reduced margin during the crisis.
- **Reprice aggressively:** Transactional customers, low-volume accounts, customers who already shop multiple suppliers. The relationship cost of losing them is low.
- **Convert:** Customers on IIJA-funded projects who previously bought from competitors. They need pipe. Federal funding covers the cost. Win them

now while the market is disrupted.

The Conversation: What the Data Says to Tell Customers

The core message is factual, not apologetic:

"PVC resin costs have increased 41% since February 28 due to the closure and subsequent US blockade of the Strait of Hormuz. This is the steepest petrochemical cost increase recorded in 26 years of industry tracking. 600 vessels are stranded in the Persian Gulf. 31 chemical producers have declared force majeure. The US Navy is currently blockading the strait. We absorbed cost increases for as long as we could. We're now implementing a cost adjustment of [X]% effective [date], tied directly to published ICIS resin pricing. We'll review quarterly and adjust in either direction as the market moves."

Tying the adjustment to a published index (ICIS PVC resin pricing) makes it defensible and reviewable. It also commits you to reducing the surcharge when resin comes back down — which protects the relationship.

The Boss Package

What Jeff takes to his boss at Oldcastle should demonstrate:

1. The repricing is systematic — customers segmented by sensitivity and strategic value, not uniform.
2. It's tied to published data — ICIS, not Jeff's judgment call.
3. Volume risk has been assessed — the most price-sensitive customers are identified and the approach is calibrated to minimize defection.
4. Progress is being tracked — which conversations have happened, which succeeded, which need escalation.

In CRH's culture, having this package changes the conversation from "are you passing costs through?" to "show me the plan" — and then showing it.

4. Resin Procurement: Buy Now, Wait, or Hedge

This is the highest-leverage operational decision at National Pipe right now. Every resin purchase is a bet on where prices are going.

The Core Question

The Hormuz blockade is now a US policy decision, not a military contingency. As of April 12, US-Iran talks have failed. The naval blockade is in effect. This changes the procurement calculus because:

- A military conflict can end suddenly (ceasefire). A policy blockade ends when the policy changes.
- ICIS estimates 12-18 months for ME petrochemical exports to recover even after the strait reopens. So even a resolution tomorrow doesn't mean cheap resin next month.
- The force majeure cascade is still expanding — plants that shut down don't restart overnight.

Three Scenarios and What to Do in Each

SCENARIO	PROBABILITY (CURRENT ASSESSMENT)	RESIN PRICE PATH	PROCUREMENT ACTION
Blockade persists 3+ months	Most likely given April 12 talk failure	Resin prices continue rising or plateau at elevated levels. Spot scarcity intensifies. Domestic	Buy forward. Lock 60-90 day contracts at current levels. Inventory is an asset in this scenario — holding

SCENARIO	PROBABILITY (CURRENT ASSESSMENT)	RESIN PRICE PATH	PROCUREMENT ACTION
		producers gain further pricing power.	resin at today's price protects margin on pipe produced next month.
Diplomatic deal in 30-60 days	Lower probability but not zero	Resin prices plateau then gradually decline. 6-12 months to return to pre-crisis levels. ICIS says 12-18 month recovery timeline.	Moderate position. Buy for near-term production needs but avoid long-dated commitments at peak pricing. The decline will be gradual, not a cliff.
Rapid resolution + market correction	Low probability	Sharp correction. Overshooting on downside as buyers pull back and destocking begins.	Hand-to-mouth. Minimize forward commitments. Resin purchased at the peak becomes a liability if prices drop 30%+ in 6 months (as happened in 2008 and 2022).

Recommended Procurement Stance (April 15, 2026)

Given the failed talks and active US blockade, the base case is persistence. Buy forward for 60-90 day coverage on production-committed orders. Prioritize US-domestic ethane-based suppliers (least Hormuz-exposed). Avoid locking long-dated contracts beyond 90 days — the political situation can shift, and you don't want to be overcommitted at the peak if a deal materializes. Review weekly as Hormuz developments change.

Supplier Prioritization

US ethane-based resin producers are the clear winners in this market. They run on natural gas liquids, not naphtha. While naphtha breached \$1,000/MT, ethane-based US production costs moved much less. The result:

- **Dow (+25% YTD), LyondellBasell (+88% YTD):** Market is pricing in their structural cost advantage. These companies — and their downstream resin distribution — are your most stable supply sources.
- **Naphtha-dependent imports:** More expensive than domestic right now. The math has flipped — imported resin may actually cost more than domestic for the first time in years.
- **Westlake:** They're a competitor AND a potential resin supplier (they sell resin to third parties). But they're also restructuring — closing North American vinyl facilities — which reduces available supply.

Historical Context

Two precedents are relevant:

- **2008 oil spike:** Crude hit \$147 in July 2008. PVC resin spiked. When oil collapsed in H2 2008, PVC resin dropped 40-50% within 6 months. Fabricators who bought at the peak took significant inventory writedowns. But that was a demand-driven collapse — the financial crisis killed demand simultaneously. The current crisis is supply-driven with demand still intact (IIJA, data centers).
- **2021-2022 pandemic disruption:** PVC resin hit all-time highs due to freeze-related outages and demand surge. Prices corrected 30-40% over 18 months. The reversion was gradual, not sudden.

The current crisis is structurally different from both: it's geopolitical, not weather or demand-driven. Recovery depends on a political resolution that does not appear imminent. And demand remains strong (see Section 5). This is not a scenario where demand and supply both collapse simultaneously.

5. Demand Outlook: Where Your Volume Is Coming From

Despite the cost crisis, the volume outlook for PVC pipe is strong. Three major demand drivers are converging — and two of them are concentrated in your geographies.

IIJA Water Infrastructure: The Money Is Moving Now

The Infrastructure Investment and Jobs Act allocated \$55 billion for water infrastructure — the largest federal water investment in US history. Here is where it stands as of April 2026:

- **\$23.4 billion in State Revolving Funds** (\$11.7B Clean Water + \$11.7B Drinking Water). These were NOT affected by FY2026 rescissions (\$2.3B was cut from other IIJA programs, but water SRFs are intact).
- **Only 18% of SRF appropriations have reached recipients.** 82% of the water money is still in the pipeline. This is the deployment acceleration phase.
- **The IIJA authorization expires September 30, 2026.** States are under "use it or lose it" pressure — EPA requires states to obligate funds within 2 years of receipt or risk reallocation. This is driving a rush of project announcements and bid releases right now.
- **The Plastics Pipe Institute projects a 15-25% PVC pipe volume uplift** above baseline from IIJA-driven demand through 2027.
- **PVC is the dominant material for new water main installation** — estimated 60-70% market share by footage for new municipal water pipe (AWWA).

New York (Endicott Plant Geography)

Your Endicott plant serves the Northeast corridor. Here is what's happening in your primary market:

- **Governor Hochul announced \$453 million** in awards to 83 water infrastructure projects across New York State in December 2025. Engineering News-Record headline: "New York's \$453M Water Awards Shift From Funding to Procurement." These projects are entering bid phase now — 2026.
- **A prior round of \$288 million** was announced in January 2026 to make local water infrastructure projects affordable across the state.
- **Total New York IIJA water allocation: approximately \$3.5 billion**, including ~\$1.1B for lead service line replacement. New York has an estimated 360,000+ lead service lines requiring replacement.
- **The Hudson Valley and Lower Upstate corridor** has several large wastewater treatment and conveyance projects advancing through environmental review or late design, positioning them for bid release this year (per ENR analysis).
- **NY Environmental Facilities Corporation** administers the SRF funds. The pipeline is statewide with a steady cadence of bid releases rather than a single surge.

Sources: Governor Hochul press releases (Jan/Dec), Engineering News-Record, EPA allotment tables, White House state fact sheets

North Carolina (Greensboro Plant Geography)

Your Greensboro plant serves the Southeast. Here is what's happening:

- **North Carolina's total IIJA funding: \$12.3 billion** across all infrastructure categories. Water infrastructure allocation: ~\$1.5 billion, including ~\$395M for lead service line replacement.
- **The Spring 2026 funding round is active right now.** NC DEQ's Division of Water Infrastructure is accepting applications for IIJA funds, IIJA Emerging Contaminants (PFAS) funds, and IIJA Lead Service Line Replacement funds. Eligible utilities may apply for up to \$25M in Drinking Water SRF loans and \$35M in Clean Water SRF loans.

- **FY2026 IIJA CWSRF-EC funding awards are anticipated to begin in April 2026** and run through February 2027. The money is being awarded right now.
- **Application training sessions** were held Feb 23-March 4, 2026 at three locations statewide (Hickory, Greenville, Research Triangle Park). Projects trained on are now entering the pipeline.
- **Southeast states generally have faster SRF drawdown rates** than the Northeast — fewer regulatory layers, shorter procurement cycles.

Sources: NC DEQ Division of Water Infrastructure, NC State Water Infrastructure Authority, White House NC fact sheet

Data Center Construction: The Boom in Your Backyard

The data center construction wave is the largest new demand driver for underground utility infrastructure in the US. The numbers are extraordinary, and the geographic concentration heavily favors your Greensboro plant.

National Pipeline

- **888 planned data center projects in the US** as of April 2026, with 602 currently operating. The planned pipeline would add 278,302 MW — a 16x increase over the existing base of 16,914 MW.
- **Construction spending forecast: \$100 billion in 2026** (MOCA Systems), up from \$50B in 2025. \$102B forecast for 2027.
- **Construction starts surged to \$77.7 billion in 2025** — a 190% year-over-year increase. Q4 2025 alone accounted for \$44.4 billion.
- **Federal Reserve models investment rising from ~\$60B (Q4 2024) to ~\$370B annualized by mid-2026.**
- **Goldman Sachs projects 92 GW of data center demand by 2027** — 17% annual growth.
- **25.3 GW currently under construction across the Americas**, with nearly 89% pre-committed before delivery (Cushman & Wakefield).

Your Geography: Virginia and North Carolina

Virginia has 136 data center projects under construction (second only to Texas at 140). Major projects:

- **STACK Infrastructure:** Stafford Technology Campus — 500 acres, four sub-campuses, six 300 MW substations supplied by Dominion Energy.
- **Microsoft:** Ashburn hyperscale data center, construction beginning in 2026.
- **Vantage Data Centers:** \$2.2 billion, three-building campus on Centreport Parkway in Stafford County, first building delivery expected 2027.
- Data center development is expanding south down I-95 from Northern Virginia — moving toward your geography.

North Carolina is emerging as a major data center state:

- **Amazon:** \$10 billion campus spanning 1,200 acres with 20 buildings in Richmond County, near a 2.24 GW Duke Energy power plant. Groundbreaking late 2025, full build-out through 2027-2028.
- **Microsoft:** 1,385-acre acquisition in Person County, near the Virginia border. Positioning for massive development.
- Both projects are within the Greensboro plant's competitive freight radius.

Why This Is PVC Pipe Volume

Every data center requires extensive underground utility infrastructure:

- **Electrical conduit:** PVC Schedule 40 is the standard for duct bank construction. PVC conduit holds 36% of the cable conduit market. The US plastic electrical conduit market is growing at 13.9% CAGR (2026-2033).
- **Water supply and return piping:** A single large data center uses 1-5 million gallons of water per day for cooling — equivalent to a town of 50,000 people. All US data centers combined consume approximately 449 million gallons per day. That water needs supply and return piping.

- **Stormwater drainage:** Large site development requires extensive drainage infrastructure.
- **PVC conduit pricing is already up 9%** from Gulf Coast resin outages combined with data center demand pull (Mordor Intelligence).
- **Atkore (\$2.9B revenue) announced capacity expansion** in March 2026 specifically for PVC and steel electrical conduit to serve data center demand. When your competitors are investing capacity to serve this market, the demand is real.
- **Ipex (your competitor) is marketing thermoplastic piping systems specifically for data center cooling.** They've already identified and are pursuing this market.

Sources: Cleanview, MOCA Systems, ConstructConnect, Federal Reserve Board, Goldman Sachs, Cushman & Wakefield, Visual Capitalist, Brookings Institution, Freedonia Group, Mordor Intelligence, BlackRidge Research, Virginia Business, ABC Carolinas

CRH's Own Position on Data Centers

This matters because it's what your parent company sees:

- **CRH is active on more than 100 US data center projects.**
- **80% of US data centers are within 25 miles of a CRH location.** Proximity is a competitive advantage that CRH is explicitly calling out in investor presentations.
- CRH sees data center demand as part of "reindustrialization activity" alongside traditional infrastructure spending.

If CRH is telling investors that data centers are a growth driver and 80% of data centers are near CRH locations — and you're a CRH division with a plant in North Carolina surrounded by data center construction — the strategic alignment is obvious. Your boss already knows this is an opportunity. The question is whether National Pipe is capturing it.

Traditional Demand

- **Housing starts:** Construction spending expected +0.4% in 2026 after -4.7% in 2025. Modest recovery. Residential PVC demand is the weakest leg of the stool right now.
- **Municipal budget cycles:** Fiscal year budget approvals are driving capital improvement plan spending in Q2-Q3. The combination of IIJA funding and local budget cycles creates a bid release concentration in spring/summer 2026.

Demand Summary

IIJA water infrastructure and data center construction are your primary demand drivers. Both are concentrated in your geographies. Both are funded and moving. The Plastics Pipe Institute projects 15-25% volume uplift from IIJA alone. Data center conduit demand is growing at 13.9% CAGR. You are in a margin crisis but NOT a volume crisis. The strategic challenge is capturing volume at margins that work under current resin pricing.

6. Freight

PVC pipe is heavy, bulky, and expensive to ship. Freight is your second-largest cost line after resin. Diesel surged 20.3% month-over-month in February 2026.

Oldcastle Infrastructure is piloting a TMS at Mansfield and Northlake, TX (announced Feb 2026). Unclear when that rollout reaches National Pipe.

The Opportunity

With two plants on the East Coast, every order is a routing decision: Endicott or Greensboro? The variables that determine optimal routing:

- **Customer proximity:** Shorter haul = lower freight. But it's nonlinear with pipe dimensions and weight.
- **Product availability:** If Greensboro is running the product and Endicott isn't, proximity doesn't matter.
- **Plant loading:** If one plant has excess capacity, routing there may be cheaper total cost even with longer freight — because the alternative is overtime at the loaded plant.
- **Mode options:** Rail vs. truck breakeven for long hauls. Rail saves 30-40% per ton-mile on lanes over 500 miles, but adds 3-7 days transit.
- **Backhaul matching:** Pipe shipments are outbound-heavy. Carriers needing eastbound loads may offer better outbound rates.

A lane-by-lane freight analysis across both plants — benchmarking current rates against market, identifying consolidation opportunities, and optimizing plant-to-customer routing — would require shipment history data from National Pipe. With 12 months of shipment data (origin, destination, carrier, weight, cost), this analysis can identify 5-15% freight cost savings. On a heavy-freight business like PVC pipe manufacturing, that's material margin recovery.

Fuel surcharge audit: Carriers apply surcharges indexed to the DOE diesel price. When diesel moves 20% in a month, there's a lag before surcharges adjust — and sometimes they adjust asymmetrically (up fast, down slow). A surcharge audit against the actual diesel index often recovers overcharges.

7. What Your Competitors Are Doing

JM Eagle

Largest PVC pipe manufacturer in North America. Private, ~\$2.5B+ revenue. They set the pricing floor and ceiling for the market. When JM Eagle moves

on pricing, the industry follows.

JM Eagle is the only manufacturer to extend block pricing beyond Waterworks to include Plumbing, Irrigation, and Electrical. They publish a price list on jmeagle.com and update it as market conditions change. In the current environment, JM Eagle price increases are essentially the market signal for when it's safe and necessary to reprice — because if JM Eagle has raised, your customers will hear about it from other suppliers and your price increase becomes defensible rather than aggressive.

What to watch: JM Eagle price list updates. When they post a new price list reflecting the resin spike, that's your market signal to accelerate repricing conversations.

Westlake Corporation (WLK)

The most important competitive signal right now. Key data:

- **Stock price: \$123.39**, up 14.93% over the past month. The market is pricing in sustained margin expansion from vertical integration.
- **Restructuring in progress:** Closed North American core vinyl facilities and Pernice epoxy plant at year-end 2025. Targeting \$600M in EBITDA improvement for 2026. Completed January 2026 acquisition of ACI (Housing and Infrastructure Products).
- **Strategic position:** They're reducing exposure to low-priced export markets while growing their housing and infrastructure products business. They're not competing on price at the low end — they're moving upmarket and letting vertical integration carry their margin.
- **Q1 2026 earnings:** Due May 1. This will be the first earnings report reflecting the full Hormuz impact. Their commentary on resin pricing outlook and pipe demand will be the most important single data point for the PVC market in Q2.

What Westlake means for you: When Westlake's margin expands, yours compresses. Their stock price is a real-time indicator of how the market

views the resin pricing outlook. Every upward move in WLK says "resin stays expensive longer." Their Q1 earnings call on May 1 will tell you more about where PVC pricing is heading than any other single source. Listen to it.

Charlotte Pipe & Foundry

Employee-owned. PVC and cast iron. Charlotte, NC headquarters — direct geographic overlap with your Greensboro plant. They compete for the same Southeast construction volume and draw from the same labor pool.

Charlotte Pipe's response to the resin spike will directly affect your ability to reprice in the Southeast.

HDPE Substitution Threat: ADS, WL Plastics

HDPE competes with PVC in drainage, stormwater, and some pressure pipe applications. When PVC resin spikes but HDPE resin follows a different cost curve, specifying engineers may start writing HDPE into project specs that previously called for PVC. Once a spec changes, it doesn't switch back easily.

Advanced Drainage Systems (ADS) is publicly traded. Their quarterly commentary on infrastructure demand and material substitution trends provides a direct read on whether HDPE is gaining ground at PVC's expense.

Ipex

Canadian company expanding in the US. Notably, they are marketing thermoplastic piping systems specifically for data center cooling applications. If National Pipe is considering the data center market (which it should — see Section 9), Ipex is already there.

8. What CRH Expects From You

CRH plc is a \$37.4 billion revenue S&P 500 company. FY2025 was their 12th consecutive year of margin expansion. Here is what the parent company has told investors about 2026 — which is the context in which Jeff's performance will be evaluated.

CRH 2026 Guidance

- **Net income guidance: \$3.9-4.1 billion.**
- **Adjusted EBITDA guidance: \$8.1-8.5 billion.** This implies an 11th straight year of top-line and profit growth.
- **Diluted EPS guidance: \$5.60-\$6.05.**
- **Expects "favorable underlying demand across key end-markets"** driven by public infrastructure investment and reindustrialization.
- **Water quality and flow control: expects high single-digit growth in 2026.** This is National Pipe's category. CRH is telling the market it expects your segment to grow.

What CRH Has Told Investors About Data Centers

- CRH is active on **100+ US data center projects.**
- **80% of US data centers are within 25 miles of a CRH location.**
- Data center demand is framed as "reindustrialization activity" alongside traditional infrastructure.

What CRH Has Told Investors About Technology

- Investments in FIDO AI (water leak detection), VODA.ai (water infrastructure analytics), Citylogix (pavement analytics).
- TMS pilot at Mansfield/Northlake, TX (within Oldcastle Infrastructure).
- CRH is positioning itself as a technology-forward building materials company. Divisional leaders who demonstrate technology adoption and operational efficiency align with the corporate narrative.

Implications for National Pipe

CRH expects high single-digit growth in water/flow control. CRH is telling investors it's capturing data center demand. CRH is investing in AI and logistics technology. CRH's culture is decentralized autonomy with intense accountability.

This means:

1. Jeff's boss expects volume growth — the IIJA and data center tailwinds are visible at the corporate level.
 2. Jeff's boss knows about the resin spike — it's industry-wide and CRH sees it across their portfolio.
 3. The question Jeff will be asked is not "did costs go up?" (everyone's costs went up) but "what did you do about it?" — how you repriced, how you managed procurement, how you captured the demand growth, and how you controlled the narrative.
 4. Demonstrating AI and technology adoption at the divisional level aligns with what CRH is telling investors the company does.
-

9. Strategic Options That Changed Math in This Market

The resin spike makes several strategic options significantly more attractive than they were 60 days ago. These are not theoretical — each has specific data behind it.

PVC-O: Use 15-40% Less Resin Per Meter

Molecularly oriented PVC (PVC-O) aligns polymer molecules during manufacturing, producing pipe that uses 15-40% less resin per meter at higher pressure ratings.

The math at current resin prices: If resin is 60% of COGS and you reduce resin usage by 25%, you reduce material cost per unit by 15%. At pre-crisis resin prices, this was a nice-to-have. At current prices (+41%), a 15% material cost reduction is the difference between margin and no margin. PVC-O is not a sustainability play right now — it's a direct cost hedge.

Market status: PVC-O is well-established in Australia, Europe, and Latin America. US adoption is growing. AWWA has standards for PVC-O pipe. The gating factor is municipal acceptance and the capital investment in orientation equipment (12-18 month implementation timeline).

CPVC: Higher Margin Product on Existing Lines

Chlorinated PVC serves hot water, fire sprinkler, and industrial applications. Higher margin than commodity PVC pressure pipe. Some of it runs on existing extrusion equipment.

Data center connection: Some data center cooling applications use CPVC for hot water circuits. If you're already pursuing data center conduit, CPVC cooling pipe is a cross-sell opportunity.

Supply House Times (April 2026) reports double-digit price increases on both PVC and CPVC pipe entering Q2 — the market is moving on both products simultaneously.

Electrical Conduit for Data Centers

This is the most immediately actionable opportunity. The data was presented in Section 5, but the strategic implications are:

- 888 planned data center projects. \$100B construction spend in 2026. PVC conduit is the standard for duct banks.
- Virginia (136 projects under construction) and North Carolina (Amazon \$10B campus, Microsoft 1,385 acres) are your backyard.
- Your Greensboro plant has a freight advantage over competitors shipping from the Midwest or Texas.

- Atkore is expanding capacity specifically for this. Ipex is marketing directly to data centers. Your competitors see this market — the question is whether National Pipe is in it.
- CRH itself is on 100+ data center projects and tells investors 80% are near CRH locations. Pursuing this market aligns with what your parent company is already telling Wall Street.

What's needed: An audit of whether National Pipe currently produces electrical conduit and in what specs. Identification of the general contractors, electrical contractors, and developers on data center projects in Virginia and North Carolina. A go-to-market through electrical supply distribution rather than water/sewer distribution channels.

Recycled PVC Content

Recycled PVC compound can be cheaper than virgin resin — especially when virgin resin is 41% above normal. Multiple states are moving toward recycled content mandates for construction materials. CRH has corporate sustainability targets. Getting ahead of mandates turns compliance into a cost advantage.

Feasibility depends on recycled compound quality meeting ASTM/AWWA specifications and consistent supply — both of which require testing and supplier qualification.

10. Risk Scenarios

Hormuz: Four Paths Forward

SCENARIO	TRIGGER	RESIN PATH	WHAT YOU DO
Blockade persists 3-6 months	US-Iran talks remain stalled. Naval blockade continues as policy.	Resin rises another 10-20% or plateaus at current elevated levels. Force majeure cascade widens. Domestic premium emerges.	Full repricing. Forward buying. Aggressive data center and IIJA volume capture. This is the new cost basis — operate accordingly.
Partial resolution	Limited deal allows some traffic. Insurance costs remain elevated. Escorted convoys.	Resin plateaus then slowly declines. 6-12 months to approach pre-crisis levels. The 12-18 month ICIS recovery estimate applies.	Hold repricing but convert surcharges to index-linked. Moderate procurement. Begin positioning for when prices normalize — rebuild customer relationships that were strained.
Full resolution	Comprehensive deal. Strait reopens. Shipping resumes at scale.	Sharp correction in naphtha and crude. Ethylene and resin follow with 3-6 month lag. Possible overshoot on downside.	Shift to hand-to-mouth resin buying. Phase out surcharges. Watch for inventory writedown risk on high-cost resin. Be ready: competitors may cut prices aggressively to retain volume.
Escalation	Wider conflict. Additional petrochemical capacity destroyed.	Resin enters uncharted territory. Allocation	Secure supply at any cost. Invoke contract protections. Communicate

SCENARIO	TRIGGER	RESIN PATH	WHAT YOU DO
	Multiple strait or pipeline disruptions.	becomes widespread. Production limited by resin availability, not demand.	proactively with customers. Survival mode for non-integrated fabricators.

Current assessment (April 15): Scenario 1 is the base case. The April 12 failure of talks and the shift from war-related closure to declared blockade makes persistence the most likely path for the near term.

Customer Defection Risks

Repricing drives defection. Signals to watch in your order data:

- Customers who skip an order cycle or reduce order size by 30%+ — they're testing an alternative.
- Requests for small-quantity quotes — they're getting comparison pricing.
- JM Eagle or Charlotte Pipe hiring sales reps in your territories — targeted attack.
- Municipal specs changing from PVC to HDPE — material substitution that's very hard to reverse.
- Payment terms stretching — cash-stressed customers are the most price-sensitive.

HDPE Substitution

If PVC resin stays elevated significantly longer than HDPE resin, specifying engineers will begin writing HDPE into project specifications that previously called for PVC. This is a slow-moving but permanent market share loss. Each spec change represents a geography-product combination that National Pipe may never recover.

CRH Corporate Risk

CRH's Q1 earnings are expected around May 4. Watch for commentary on water/flow control segment performance and any revisions to the high single-digit growth expectation. If CRH revises guidance down due to cost pressure, Jeff's budget expectations may shift. If they maintain guidance, the expectation remains that National Pipe delivers growth in a cost crisis.

11. Recommended Decisions and Priorities

Based on everything above, here are the decisions and actions ranked by urgency and impact.

This Week

1. **Formalize the repricing strategy.** Segment customers using the framework in Section 3. Start conversations with the lowest-sensitivity customers first (IIJA-funded municipal projects, large commercial). Build momentum before approaching the sensitive ones.
2. **Set procurement stance.** Given the blockade persistence, buy forward for 60-90 day coverage on committed orders. Prioritize US ethane-based suppliers. Do not lock beyond 90 days. Review weekly.
3. **Monitor Westlake Q1 earnings (May 1).** Their resin pricing commentary will be the most important market signal in Q2. Prepare to adjust both repricing and procurement based on their outlook.

This Month

1. **Assess data center conduit opportunity.** Does National Pipe produce electrical conduit? In what sizes and specs? Identify the top 5 data center projects in Virginia and North Carolina that are entering procurement. Determine if Greensboro can serve them.

2. **Build the boss package.** A systematic repricing plan with segmentation, progress tracking, and data-backed justification. Align it with CRH's high single-digit growth expectation for water/flow control and the data center opportunity CRH is already telling investors about.
3. **Run a freight lane analysis.** With diesel up 20% and margin under pressure, freight savings are margin recovery. Even a 5% freight cost reduction helps.

Next 90 Days

1. **Track IIJA bid releases in NY and NC.** The ENR reporting shows NY's \$453M awards are shifting from funding to procurement. NC's Spring 2026 IIJA CWSRF awards begin in April. These are bid releases happening now — position to capture them.
2. **Evaluate PVC-O feasibility.** Not a short-term solution but the cost math has dramatically improved. A 15% material cost reduction at current resin prices changes the capital return calculation for orientation equipment.
3. **Pressure-test the customer base.** After the first wave of repricing conversations, assess: who stayed, who pushed back, who's shopping alternatives? Use that data to refine the next wave.

Ongoing

- **Daily commodity tracking:** The feedstock chain (crude → naphtha → ethylene → PVC resin) is your real-time margin indicator. A daily scan — already built and ready to run — keeps you current without manual monitoring.
- **Competitive monitoring:** JM Eagle price list updates, Westlake stock and earnings, Charlotte Pipe Southeast activity, HDPE spec changes. The 7-day rotation is running.
- **Hormuz scenario monitoring:** Every diplomatic or military development maps to one of the four scenarios in Section 10 and has direct procurement and pricing implications.

Generated April 15, 2026 · For Jeff Bridge – National Pipe & Fittings at
Oldcastle Infrastructure (CRH) · Confidential

Sources: ICIS · PlasticsToday · Plastics Technology · Syntex America · CNBC
· NBC News · CNN · Al Jazeera · USNI News · Argus Media · S&P Global
Commodity Insights · Governor Hochul press releases · Engineering News-
Record · NC DEQ Division of Water Infrastructure · EPA · Funding Landscape
· AWWA · Plastics Pipe Institute · Cleanview · MOCA Systems ·
ConstructConnect · Federal Reserve Board · Goldman Sachs Research ·
BloombergNEF · Cushman & Wakefield · Visual Capitalist · Brookings
Institution · Freedonia Group · Mordor Intelligence · BlackRidge Research ·
ABC Carolinas · Virginia Business · Supply House Times · CRH FY2025 Results
· Westlake Q4 2025 Earnings · Seeking Alpha · Yahoo Finance